

Corporate Finance

Lecture 1: Introduction

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Presentation

Course outline

1. Chapter 10: Capital Markets and the Pricing of Risk
2. Chapter 11: Optimal Portfolio Choice
3. Chapter 11: Capital Asset Pricing Model
4. Chapter 13: Investor Behavior and Capital Market Efficiency
5. Chapter 12: Estimating the Cost of Capital
6. Chapter 14: Capital Structure in a Perfect Market
7. Chapter 15: Debt and Taxes
8. Chapter 17: Payout Policy
9. Chapters 23-24: Introduction to Long-term Financing
10. Chapters 20 & 30: Options and Risk Management

Assessment methods

- ▶ Overall grade:
 - ▶ Continuous assessment
 - ▶ Excel group assignment (20%)
 - ▶ Pearson Mylab weekly homework (10%)
 - ▶ Final exam (70%)
 - ▶ Closed-book, paper-based, on-campus exam.
 - ▶ Duration of two hours.
 - ▶ Mix of multiple choice questions, calculation questions including possibly questions to draw figures with short answers interpreting the results, and few short open-answer questions.
 - ▶ Formula sheet will be provided and students need to bring a calculator.
 - ▶ Last year's exam will be provided in November.
- ▶ Students need a minimum grade of 8 in the final exam and a minimum overall grade of 10 to pass the course.

Bibliography

- ▶ The reference book is Berk, Jonathan and Peter DeMarzo, “Corporate Finance,” Pearson Education.
- ▶ The course will cover the Parts IV, V and VIIbut in less detail than the book.
- ▶ An electronic version of the textbook is available on MyFinanceLab.

Documents and learning resources

- ▶ Printed course materials: slides & exercises.
- ▶ Blackboard: <https://escp.blackboard.com/> ⇒ Additional materials and Q&A forum
- ▶ Pearson Mylab: MyFinanceLab (access via blackboard)
 - ▶ Students are required to complete weekly assignments in MyFinanceLab.
 - ▶ These homeworks are made available after each lecture block and are due before the start of the next lecture block. Late submission will not be accepted.
 - ▶ Each homework contains five questions that cover a two-hour lecture. For four-hour lectures, two such homeworks will be made available (covering a total of ten questions).
 - ▶ There will be twelve homeworks in total.
 - ▶ It is recommended to study the additional exercises for each chapter available in the multimedia library.



Homework grade

- ▶ There are twelve homeworks, one for each two-hour lecture block.
- ▶ Homeworks are made available after each lecture and they are due one week later (before the next lecture starts).
- ▶ Each homework is automatically graded on a scale from 0 to 100%. A missing homework will receive a grade of zero.
- ▶ The homework grade is the average grade in the first eleven homeworks multiplied by 20 (to obtain a grade in the 0-20 range).
- ▶ The homework grade is worth 10% of the overall grade.

Contact

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